had even contemplated making provisions for Mistry to take over the Tata Trusts after him. He ruefully recalls that he was prepared to do just about everything to back Mistry and did so until their relations soured. And as a leading newsmagazine wrote, '[Ratan] Tata also used the clout of the trusts he controlled to fully back Mistry's decisions.' Venu Srinivasan adds that Ratan appointed Mistry as the chairman despite the differences in the approach of the Tatas and the Pallonjis to business. Ratan also gave 'him all the powers', ignoring such differences.

Supporting Mistry was both necessary and pragmatic. Ratan was aware that there were some foreign acquisitions—Corus Steel, for instance—that required consolidation. It was not only important for Ratan's own legacy but for cementing the global footprint of the Tata Group. The stakes were too high, for Tata Trusts, the Tata Group and even for him personally, to embrace any other approach.

But the events that followed seemed to indicate that Mistry failed to seize the opportunity to build on the gains made by his predecessor and provide the leadership the companies had got accustomed to receiving from the group chairman. Instead, he searched for reasons for not being able to measure up to the challenges he was facing and drove the conglomerate into a stasis. After he became chairman, it did not take long for schisms to appear in the group. It was unexpected, but a whole set of events, both connected and disparate, set in motion tectonic shifts that pulled apart Tata Trusts and Tata Sons.

A serious issue developed when Mistry stopped consulting Tata Trusts—which has a 66 per cent stake in Tata Sons—on important decisions. This was when the seeds of distrust were first sown. Ratan feels that Mistry should have discussed group issues with the Trusts. He recalls that even JRD never took any major decision without consulting Lady Tata, chairperson of the Sir Ratan Tata Trust and director of Tata Sons from 1924 to 1965. He would call on Lady Tata at her house and explain to her the important decisions that Tata Sons intended to take. Any business decision that did not find favour with her was not pursued.

Mistry perhaps failed to comprehend that taking Tata Trusts into confidence would only have strengthened his position. With the Trusts' support and that of his family, which held an 18.4 per cent stake in Tata Sons, every decision of his would have had the weighty backing of nearly 85 per cent of its stakeholders.